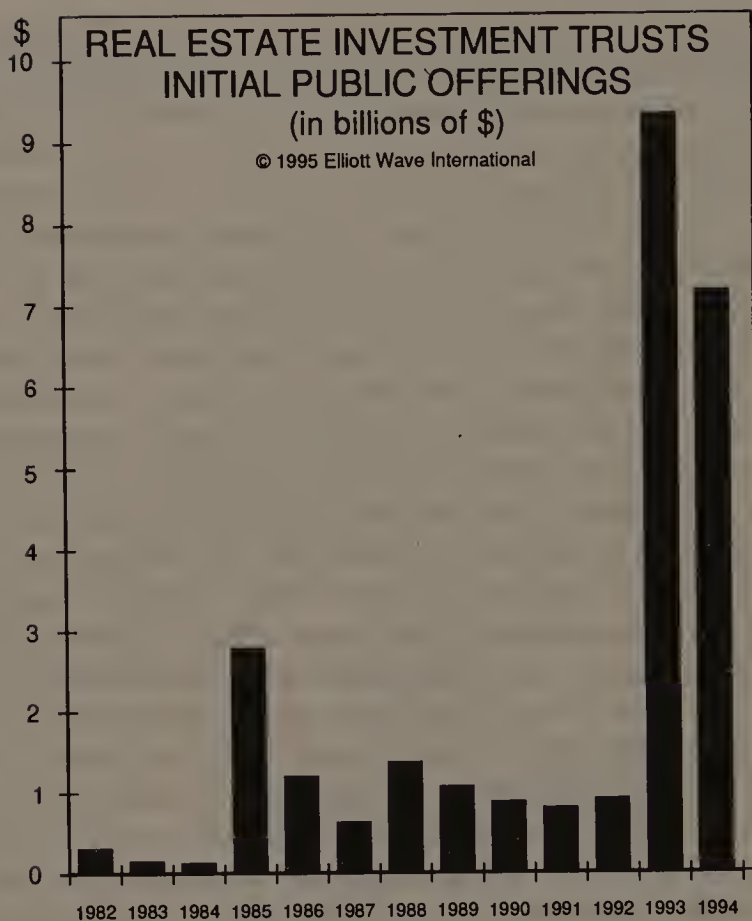


*Figure 20-14*

manias. Continued high activity and high prices through 1994 is a reflection of the continuation through 1986 of the previous mania eight years ago. The fact that 1994 levels have been off a bit from those of 1993 supports the case for a reversal in the making.

As would be expected in the final mania of a sequence such as this, it is the one most driven by blind emotion and the least supported by fundamentals. The public has gorged itself on REITs despite the fact that rates of change in both prices and sales, particularly for investment-type commercial real estate, have been slowing dramatically. What makes the current valuation even more precarious is that the current boom is coming at the tail end of the reflationary trend in the general economy that started in 1982.

Though off from their peaks, REITs in early 1995 remain a favorite of investors. They are convinced after decades of conditioning that they are getting bargains in "the single best long term invest-